INVESTING & MARKETS (INDIA)

Market Snapshot & Your First Year Investing

A dated snapshot of Indian markets (21 October 2026), what was driving them, and a month-by-month first-year plan that does not require you to predict anything.

market-analysis · nifty · sensex · rbi · inflation · bond-yields · crude-oil · rupee · fii-flows · getting-started · first-year · sip · asset-allocation · india · beginner · quarterly-review

Study Pack · Comprehensive reference & interview prep · ~50 min read · 11,044 words

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How to Read This Guide — And Its Expiry Date

Every other guide in this section teaches principles that will still be true in ten years. This one is different: it contains a dated snapshot of where Indian markets actually stood on **21 October 2026**, an analysis of what was driving them, and a structured plan for someone starting from zero. The principles at the end will keep. The numbers will not.

✕ **This is education, not advice**

Nothing here is a recommendation to buy or sell any security, fund or asset class. No company named below is a suggestion — companies appear only as illustrations of a market-wide pattern. Markets can and do fall further than seems reasonable; you can lose money, including all of it. Past performance says nothing reliable about future returns. For advice on your specific situation, consult a SEBI-registered Investment Adviser and a chartered accountant. Verify every number here against a primary source before acting on it.

⚠ **Snapshot date: 21 October 2026**

All market figures in sections 2 to 8 were captured on that date from Trading Economics, which aggregates exchange and official statistical data. Index levels move daily; policy rates move every few weeks; the narrative can invert in a month. **If you are reading this more than a quarter after the snapshot date, treat sections 2 to 8 as a worked example of how to read a market, not as a description of the market you are in.** Section 16 shows you how to rebuild the entire analysis yourself in about thirty minutes.

What this guide is for

You have a PAN and a demat account. You have read, or are about to read, the other guides in this section. What you do not have is a sense of *where you are standing* — whether the market you are about to step into is cheap or expensive, calm or stressed, early or late in a cycle. That context does not tell you what will happen next. Nobody can tell you that. But it does change what a sensible first move looks like, and it changes which mistakes are most likely to hurt you.

SECTIONS 2–8

A dated, factual snapshot of Indian equities, inflation, policy rates, bonds, currency, commodities and the global backdrop — with the analysis of how those pieces connect.

SECTIONS 9–14

What that environment means for a beginner, what it does *not* mean, and a concrete order of operations with a month-by-month first-year plan.

SECTIONS 15–19

A scenario playbook, the exact dashboard to check and how often, and a repeatable quarterly refresh so you never again depend on someone else's stale summary.

> **Prerequisite**
> This guide assumes you have already worked through Investing Foundations — in particular the emergency fund, insurance and high-interest-debt gates. If you have not cleared those, no market analysis is relevant to you yet. Go and clear them first; the market will still be there.

Snapshot: Indian Equities on 21 October 2026

The headline is simple and uncomfortable: Indian equities had been falling for roughly a year. The benchmarks were down around 12 to 13 per cent over twelve months and the Sensex sat close to 15 per cent below its all-time high. This was a correction, not a crash — but it was the first sustained drawdown many newer Indian investors had experienced.

22,811	−11.90%	73,710	−12.83%
NIFTY 50	NIFTY, 1 YEAR	SENSEX	SENSEX, 1 YEAR

≈ −14.5%
SENSEX FROM PEAK

Measure	Level / value	1 day	1 month	1 year
Nifty 50	22,811.35	−0.34%	−2.22%	−11.90%
BSE Sensex	73,709.69	−0.19%	−1.10%	−12.83%
Sensex, all-time high (series)	86,159.02	Current level is roughly 14.5% below that peak		

Putting a 14.5% drawdown in context

A beginner's instinct on seeing "down 13% in a year" is either panic or bargain-hunting euphoria. Both are wrong, because 13% is not a remarkable number. Equity markets are *supposed* to do this. The table below is the honest frame of reference.

Drawdown depth	Rough historical frequency in equity markets	What it usually is
5–10%	Roughly once or twice a year	Ordinary noise. Not a signal of anything.
10–20%	Roughly once every two to three years	A correction. Often a growth scare, a rate shock or a sentiment reset.
20–35%	Roughly once a decade	A bear market. Usually a recession, a policy shock or a credit event.
Over 40%	A few times a century	A systemic crisis. 2008 and March 2020 are the modern Indian reference points.

> **Frequencies are approximate and historical**
> These are rough long-run frequencies across major equity markets, not a forecast and not a guarantee that Indian markets will follow the same distribution. They are here to calibrate your emotional response, not to predict anything. Build your own version of this table from Nifty TRI history — the method is in section 16.

So a 14.5% drawdown is firmly in "this happens regularly" territory. It is neither evidence that the market is broken nor evidence that it is now cheap. What makes this particular drawdown worth understanding is not its depth but its *cause*, because the cause tells you something about what might resolve it.

What was happening beneath the index

Index-level numbers hide an enormous amount. On the snapshot date the dispersion between individual large caps over twelve months was extreme — some of India's largest and most widely held companies had fallen 30% while others had risen.

Large-cap constituent	Approx. 1-year change	Broad category
Maruti Suzuki	−31.8%	Autos — rate-sensitive, fuel-cost exposed
HDFC Bank	−30.3%	Financials — rate and credit-cycle sensitive
Hindustan Unilever	−29.1%	FMCG — input-cost and rural-demand exposed
Tata Consultancy Services	−18.1%	IT services
Reliance Industries	−16.7%	Energy and conglomerate
Bharti Airtel	−6.5%	Telecom
ICICI Bank	+1.6%	Financials
Sun Pharmaceutical	+2.9%	Pharma — defensive, export-oriented
Titan Company	+16.1%	Discretionary / jewellery retail

> ⚠ **Read this table as structure, not as a scorecard**
> These names are listed because they are among the most widely held stocks in India and together they illustrate how differently parts of the same index behaved. Nothing here says that the fallers are now bargains or that the risers are now expensive. A stock that has fallen 30% can fall another 30%. Two of these percentages are also affected by corporate actions over the period, which is exactly why you must verify any individual figure against the exchange's own adjusted price history before drawing a conclusion. See How the Indian Stock Market Works on corporate actions and adjusted prices.

On the snapshot day itself, the rotation was visible intraday: IT names were up two to three per cent while financials, autos, metals and FMCG were down. The market was not selling everything — it was selling a specific set of exposures and buying another. Section 8 explains what those exposures have in common.

Primary market activity

One more data point matters for reading sentiment. In the same week, Reliance Industries' digital subsidiary Jio Platforms launched a roughly US$3.2 billion initial public offering, and the public bidding portion was fully subscribed within two hours of opening. A market in genuine distress does not absorb a multi-billion-dollar listing in two hours.

> ✦ **The signal in that**
>
> Heavy IPO absorption alongside a falling secondary market is a classic late-cycle-but-not-broken pattern: domestic liquidity is intact and looking for a home, even while foreign capital is leaving and the index is drifting down. It tells you the drawdown is being driven by something other than a shortage of domestic money. Note also what it does *not* tell you — strong IPO subscription has historically been a poor predictor of listing-day or long-term returns. See the IPO section of How the Indian Stock Market Works.

The Macro Picture: Inflation and the RBI

Equity drawdowns usually have a driver sitting underneath them. On this occasion the driver was not a credit crisis or an earnings collapse. It was inflation, and the monetary tightening it forced.

5.54%	4.83%	5.50%	+25 bps
CPI INFLATION, SEP 2026	PREVIOUS READING	RBI REPO RATE, OCT 2026	LATEST MOVE

5.00%
UNEMPLOYMENT RATE

Inflation was accelerating, not just elevated

September 2026 CPI printed at 5.54%, up sharply from 4.83% the month before. The direction matters more than the level. The Reserve Bank of India operates a flexible inflation targeting framework with a 4% target and a tolerance band of 2% to 6%; at 5.54% and rising, inflation was inside the band but heading for the ceiling, and commentators at the time expected the October print to breach 6%.

TEXT

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RBI FLEXIBLE INFLATION TARGETING FRAMEWORK
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Target              4.0%
Lower tolerance     2.0%
Upper tolerance     6.0%

Sep 2026 CPI        5.54%   ⟵ inside band, accelerating toward the ceiling
Aug 2026 CPI        4.83%
Month-on-month change in the annual rate: +71 basis points

Why the ceiling matters: if average inflation stays outside the
2–6% band for three consecutive quarters, the RBI is required to
submit a written report to the central government explaining the
failure, the remedial actions proposed, and the time it expects
to take to return inflation to target.

That obligation is a powerful institutional incentive. A central
bank approaching it will usually act pre-emptively and visibly.
```

The policy response

The RBI had raised the repo rate by 25 basis points to 5.50% at its October 2026 meeting, up from 5.25%, and had shifted its stance to "calibrated tightening". Interest-rate swap markets were pricing roughly 100 basis points of further hikes over the following twelve months, including the possibility of a 50 basis point move in December.

Here is the single most useful calculation you can do with these two numbers:

TEXT

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REAL POLICY RATE
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Repo rate                       5.50%
CPI inflation (Sep 2026)        5.54%
Real policy rate            =  −0.04%   (essentially zero)

Interpretation: with the policy rate roughly equal to inflation,
monetary policy was close to neutral in real terms, arguably still
slightly accommodative. A central bank that wants to actually slow
inflation generally needs a positive real policy rate.

Implication: the market's expectation of further hikes was not
speculative. It followed directly from the arithmetic.
```

Why a beginner should care about the repo rate at all

Three transmission channels. First, **discounting**: higher rates mean future company cash flows are worth less today, which compresses the multiple investors will pay — this hits high-growth and expensive stocks hardest. Second, **competition**: when a government bond yields 7.45% risk-free, equities must offer a materially better expected return to justify their risk, so money rotates out. Third, **the real economy**: higher rates mean costlier home loans, car loans and corporate borrowing, which slows demand and eventually earnings. All three were operating simultaneously.

The rest of the domestic picture was not weak

Importantly, this was not a recession story. Unemployment was stable at 5.00%, and infrastructure output was reported to be growing at its fastest pace in nearly three years. Bank earnings were mixed rather than bad — ICICI Bank and HDFC Bank both reported above expectations in the results season, while Axis Bank came in below. One large non-bank lender flagged early signs of stress in loans against gold, which is worth noting as a potential leading indicator but was, at that point, a single data point.

The distinction that matters

An equity drawdown caused by *rate and inflation pressure on a growing economy* is a fundamentally different animal from one caused by *collapsing earnings in a shrinking economy*. The first is a valuation reset and historically resolves when the rate cycle turns. The second is an earnings reset and takes longer. On the snapshot date, the evidence pointed clearly to the first. That is an observation about the past, not a forecast.

The Oil Shock Driving Everything

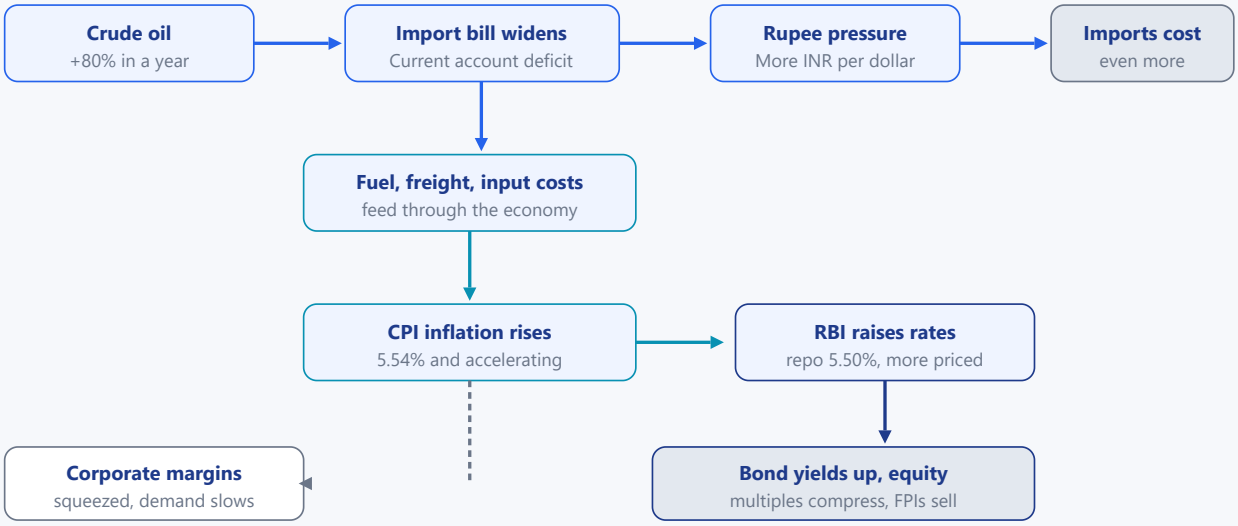
If you want to understand this entire market in one variable, it is the price of crude. India imports the overwhelming majority of the oil it consumes, which makes a sustained crude rally one of the most reliably damaging macro events for the Indian economy and for Indian equities.

$109.23	+79.6%	$97.88	+70.6%
BRENT CRUDE / BBL	BRENT, 1 YEAR	WTI CRUDE / BBL	WTI, 1 YEAR

Brent had approached US$112 per barrel, a five-month high, on Red Sea shipping risks and reported threats to Saudi oil infrastructure. An 80% rise in a year in India's single largest import is not a sector story. It is a macro regime change.

The transmission chain, step by step

This is the most valuable thing in this guide for a beginner, because once you can trace a chain like this you can analyse any macro shock rather than memorising conclusions.



How an oil shock propagates through an oil-importing economy into equity prices. Every link in this chain was visible in the data on 21 October 2026.

Who gets hurt and who does not

Exposure	Mechanism	Direction in an oil spike
Oil marketing companies	Buy crude, sell refined products at administered or competitive prices	Margin squeeze if they cannot pass the cost through
Aviation, logistics, shipping	Fuel is a dominant share of operating cost	Direct and severe cost hit
Paints, chemicals, plastics, tyres	Crude derivatives are the primary raw material	Gross margin compression
FMCG	Packaging, distribution and freight costs; plus squeezed consumer wallets	Volume and margin pressure together
Autos	Running cost rises, plus loans get costlier as rates rise	Demand deferral, especially entry-level
Banks and NBFCs	Rate cycle affects cost of funds, loan growth and eventually asset quality	Multiple compression ahead of any actual credit deterioration
Upstream oil producers	Sell crude	Direct beneficiary, subject to windfall levies
IT services, pharma	Export revenue in dollars, costs largely in rupees	A weaker rupee mechanically helps reported margins

✦ **This explains the rotation you saw in section 2**

IT up, financials and autos and FMCG down, is exactly what the table above predicts. The market was not behaving irrationally. It was repricing a specific macro scenario with considerable internal consistency. Being able to look at a day's sector movement and say "that is consistent with an oil-and-rates story" is a genuinely useful analytical skill, and it is available to you from free public data.

⚠ **Do not turn this into a trade**

The chain above is an explanation of what *has* happened. It is not a prediction, and it is certainly not a basis for buying "oil beneficiaries" and shorting "oil losers". By the time a macro narrative is this legible, it is substantially priced in. Markets move on the *change* in expectations, not on the current state. If crude falls back to $70 next quarter, every relationship in that table reverses violently. Beginners lose money by acting on macro narratives; they make money by owning diversified assets through macro narratives.

Bonds and the Yield Curve: The Other Half of the Market

Most new investors look only at equities. That is a mistake, and never more so than in a tightening cycle, because the bond market is both the mechanism transmitting the shock and — at these yields — a genuine competing opportunity.

The Indian government bond curve on 21 October 2026

Tenor	Yield	Change, 1 year
3 month	5.73%	+0.28%
52 week	6.59%	+1.00%
2 year	6.74%	+1.03%
3 year	7.16%	+1.32%
5 year	7.25%	+1.10%
7 year	7.34%	+0.90%
10 year	**7.45%**	+0.91%
30 year	7.82%	+0.72%

The 10-year G-Sec yield at 7.45% was its highest since March 2023. The curve was upward sloping across its entire length, which is the normal shape — longer money costs more — and the whole curve had shifted up by roughly 70 to 130 basis points over twelve months. That parallel-ish upward shift is the signature of a market repricing the *entire future path* of policy rates, not just the next meeting.

The real yield calculation

TEXT

```
REAL YIELD ON THE 10-YEAR GOVERNMENT BOND
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Nominal 10Y G-Sec yield          7.45%
CPI inflation (Sep 2026)         5.54%
                                 ──────
Real yield (approx)              1.91%

More precisely, using the Fisher relation:
  (1.0745 / 1.0554) − 1 = 1.81%

So a rupee lent to the Government of India for ten years was
earning roughly 1.8–1.9% above current inflation, before tax.

AFTER TAX, for someone in the 30% slab (interest is taxed at
slab rates, not as capital gains):
  Post-tax nominal yield = 7.45% x (1 − 0.30) = 5.22%
  Post-tax real yield    = 5.22% − 5.54%      = −0.32%

This is the single most important number for an Indian saver to
understand: a 7.45% "safe" return is, for a top-slab taxpayer at
5.54% inflation, slightly NEGATIVE in real terms.
```

The lesson hidden in that calculation

"Safe" assets are not safe from inflation and tax. A fixed deposit or bond yielding less than inflation grossed up for your tax rate is a slow, guaranteed erosion of purchasing power. This is precisely why long-horizon money generally has to take equity risk — not because equities are better, but because the apparently safe alternative has its own, quieter, form of loss. Read the real-returns section of Investing Foundations before you decide anything about your debt allocation.

What a rising-rate environment does to bond prices

If you hold a bond to maturity, you get the yield you bought at. If you hold a *bond fund*, you own a continuously rolling portfolio and its NAV moves inversely with yields. This catches beginners every cycle.

TEXT

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APPROXIMATE PRICE IMPACT OF A YIELD MOVE
_____________________________________

Price change  =  -Modified Duration  x  Change in yield

Example A: a gilt fund with modified duration 7.0
  Yields rise 50 bps  →  -7.0 x 0.50%  =  -3.5% NAV impact
  Yields rise 100 bps →  -7.0 x 1.00%  =  -7.0% NAV impact

Example B: a short-duration fund with modified duration 1.5
  Yields rise 50 bps  →  -1.5 x 0.50%  =  -0.75% NAV impact
  Yields rise 100 bps →  -1.5 x 1.00%  =  -1.5% NAV impact

With swap markets pricing ~100 bps of further hikes, the duration
you choose was the dominant risk decision in the debt sleeve.
Long-duration funds carry equity-like volatility in a hiking cycle.

(Convexity makes the true move slightly better than this linear
approximation in both directions. The approximation is fine for
understanding the order of magnitude.)
```

> **Where to go deeper**
> Duration, accrual versus duration strategies, and the post-2023 taxation of debt funds are covered properly in Mutual Funds, SIPs, ETFs & Index Investing. The point here is only that in a tightening cycle, the *type* of debt instrument matters far more than it does in a stable one.

Currency and the Global Context

India does not trade in isolation. On the snapshot date, the most striking feature of the global picture was divergence: US equities were near record highs while Indian equities were 15% off theirs. Understanding why is understanding capital flows.

The rupee

₹94.81	+8.05%	₹106.37	₹126.84
USD / INR	USDINR, 1 YEAR	EUR / INR	GBP / INR

The rupee was trading around 94.8 per dollar — roughly 8% weaker than a year earlier, though it had just put in a seven-session winning streak to a six-week high, helped by expected dollar inflows from the Jio

Platforms IPO and continued RBI intervention. The central bank was reported to be selling dollars and tightening scrutiny of large overseas investments to curb capital outflows.

> **Why the rupee matters to your portfolio**
>
> Three effects. **Imported inflation:** a weaker rupee makes an already expensive barrel of oil more expensive in rupee terms, which is why currency and oil reinforce each other. **Sector effects:** exporters (IT, pharma) benefit, importers suffer. **Foreign returns:** a foreign investor in Indian equities earns the local return *minus* the currency depreciation, which is why a falling rupee tends to accelerate foreign selling in a weak market — a self-reinforcing loop. It is also why holding some international assets is a currency hedge for an Indian investor, a point developed in Building & Managing a Portfolio.

The global rate picture

Market	10-year government bond yield
United States	5.12%
United Kingdom	5.40%
India	7.45%
Germany	3.43%
Japan	2.90%
China	1.65%

TEXT

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THE INDIA–US YIELD SPREAD
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India 10Y          7.45%
US 10Y             5.12%
                   ─────
Spread              2.33%  (233 basis points)

Historically this spread has often sat in the 400–500 bps range.
A spread this narrow means a dollar investor is being paid much
less to take Indian currency and country risk than they are used
to. Combine that with an 8% annual rupee depreciation and the
carry trade stops working entirely:

  Indian yield          7.45%
  less FX depreciation -8.05%
  = dollar return      -0.60%   versus 5.12% risk-free at home

That arithmetic is a large part of why foreign portfolio flows
were persistently negative. It is not sentiment. It is maths.
```

✦ **This is the key insight of the whole snapshot**

When US risk-free yields are above 5% and the rupee is depreciating, global capital has very little reason to sit in Indian assets. The drawdown in Indian equities was, to a significant degree, a *capital flow* phenomenon rather than a judgement on Indian companies. Flow-driven drawdowns reverse when the flow reverses — which typically requires the US rate cycle to turn or the rupee to stabilise. Neither is predictable, which is exactly why you accumulate systematically rather than trying to time the turn.

Global equity and commodity backdrop

Market / asset	Level	Note
S&P 500 (US500)	7,738.64	Near highs — a stark divergence from India
Nasdaq 100 (US100)	29,782	Leading the US advance
Dow (US30)	52,537	
Nikkei 225	64,825	
Shanghai Composite	3,713	
US Fed funds rate	4.00%	Raised from 3.75%; US CPI 3.70% and rising
Dollar index (DXY)	101.80	
Gold	US$4,127 / oz	−4.5% over one year
Silver	US$57.43 / oz	
Copper	US$6.53 / lb	+14.9% over one year

⚠ **An inconvenient observation about gold**

Gold fell roughly 4.5% over a year in which oil rose 80%, inflation accelerated and geopolitical risk was elevated — precisely the conditions in which gold is popularly supposed to shine. This is a useful corrective: the simple stories about what "should" happen to an asset class in a given environment are far less reliable than they sound. Hold gold for diversification because its correlation with equities is low over long periods, not because you believe it is a dependable inflation hedge in any given year.

Reading the Situation: Five Honest Interpretations

Here is where most market commentary goes wrong: it picks one story and sells it with confidence. The intellectually honest approach is to lay out the plausible readings of the same data, note what evidence would support each, and accept that you cannot know which is correct in advance.

1. MID-CYCLE CORRECTION, RESOLVES WITH THE RATE CYCLE

The economy is growing, unemployment is stable, infrastructure output is strong, bank earnings are broadly fine. This is a valuation reset caused by rates, not an earnings collapse. When oil normalises and the hiking cycle ends, multiples recover. **Supporting evidence:** no credit event, solid IPO absorption, mixed-to-good earnings. **What would break it:** earnings actually rolling over.

2. EARLY INNINGS OF SOMETHING WORSE

Inflation is accelerating, the RBI is behind the curve, 100 bps of hikes are coming, and the lagged effect of tightening on demand and credit has not shown up yet. The gold-loan stress flagged by one large lender is an early warning. **Supporting evidence:** negative real policy rate, oil still rising. **What would break it:** crude falling back, inflation rolling over.

3. A PURE CAPITAL-FLOW EVENT

With US 10-year yields above 5% and a 233 bps India-US spread against an 8% rupee depreciation, the carry trade is dead. Foreign money is leaving for arithmetic reasons unrelated to Indian fundamentals. Domestic flows are absorbing it, slowly. **Supporting evidence:** the spread maths, persistent FPI outflows, IPO absorbed domestically. **What would break it:** the Fed easing, or the rupee stabilising.

4. A HEALTHY DEFLATION OF PRIOR EXCESS

Markets that have run hard for years build up valuation excess, particularly in small and mid caps. A drawdown concentrated in the most widely held, most crowded large caps looks like positioning unwinding rather than fundamental deterioration. **Supporting evidence:** the dispersion in section 2. **What would break it:** evidence the falls are tracking downgrades, not de-rating.

5. ALL FOUR, SIMULTANEOUSLY, IN DIFFERENT PROPORTIONS

This is almost always the correct answer, and it is why confident single-cause market narratives should make you suspicious. Markets are the aggregation of millions of decisions driven by different reasons. The oil shock is real *and* the flow story is real *and* some of the fall is positioning. The honest conclusion is that the drawdown has identifiable, largely macro causes, that those causes are visible in public data, and that the timing of their resolution is genuinely unknowable.

✕ **What you must not take from this section**

Do not conclude "the market is cheap, time to go all in" and do not conclude "worse is coming, stay in cash". Both are forecasts, and the evidence on retail (and professional) forecasting accuracy is dismal. The correct response to genuine uncertainty is not a better forecast — it is a process that does not require one. That is what sections 9 to 14 describe.

What is deliberately missing from this analysis

Being explicit about the gaps is part of doing this honestly. On the snapshot date, three things that would materially sharpen the picture were not in the data captured:

- ☐ **Valuation.** Nifty trailing and forward P/E, P/B and earnings yield versus the bond yield. Without this, "down 13%" cannot be converted into "cheap" or "still expensive". Get it from the NSE's own index factsheet — see section 16.
- ☐ **Broad-market breadth.** Index levels for the Midcap 150 and Smallcap 250, and the advance-decline picture. Large-cap benchmarks can mask far deeper damage, or far greater froth, in the broader market.
- ☐ **Actual flow numbers.** "Continued foreign fund outflows" is a qualitative statement. The daily FII/DII figures are published free by NSE and the depositories and would quantify it.

✦ **Make this your first exercise**

Go and fill in those three gaps yourself for *today's* market. It will take under thirty minutes using the sources in section 16 and Market Data, Research & News Sources. Doing it once will teach you more than reading ten market-outlook articles.

What This Environment Means If You Are Starting Now

Now the practical part. The market context above does not change the fundamentals of how you should invest, but it does change which risks are most live and which mistakes are most likely.

The genuinely good news for a beginner

YOU ARE NOT BUYING A TOP

Starting a multi-decade accumulation programme roughly 15% below a peak, with sentiment poor, is structurally more comfortable than starting during euphoria. You get more units for the same rupee. This is not a prediction that the bottom is in — it is simply the arithmetic of a lower entry price for someone who will be buying for thirty years.

YOU WILL LEARN VOLATILITY EARLY AND CHEAPLY

Experiencing a drawdown on a ₹50,000 portfolio is a far better teacher than experiencing one on a ₹50 lakh portfolio. You will discover your actual risk tolerance — which is almost never the same as your imagined risk tolerance — while the stakes are small.

DEBT AND CASH FINALLY PAY SOMETHING

Short-duration debt and fixed deposits at these yields are a genuine, if modest, alternative for near-term goals, rather than the near-zero-return proposition they are in an easing cycle. Your emergency fund is not being punished for existing.

The risks that are most live right now

Risk	Why it is elevated in this environment	What to do about it
Catching a falling knife in individual stocks	Several large, familiar names are down 30%. "It was ₹1,000, now it's ₹700, it must be cheap" is the most expensive sentence in retail investing. A stock down 30% can fall another 50%.	Do not buy individual stocks on price decline alone. If you buy one, buy it on an analysed thesis, sized small. See Analysing a Stock.
Abandoning the plan mid-drawdown	The single most common and most costly beginner error. Starting a SIP and stopping it four months later, after it is down 8%, converts a temporary decline into a permanent loss and teaches you precisely the wrong lesson.	Pre-commit in writing, automate the debit, and reduce how often you look at the portfolio.
Duration risk in the debt sleeve	With roughly 100 bps of hikes priced, long-duration debt funds carry meaningful mark-to-market risk. A beginner who buys a gilt fund for "safety" may be shocked.	Match duration to horizon. For money needed within three years, stay short.
Starting F&O in a volatile tape	High realised volatility makes options expensive and stop losses easier to hit. The cost of being wrong is amplified exactly when a beginner is most tempted to "make back" equity losses.	Do not trade derivatives in year one. Read Futures & Options Demystified for the evidence on why.
Chasing whatever just worked	IT outperformed on the snapshot day; a beginner's instinct is to buy the thing that is going up. Sector rotation is fast and the rotation you can see has already happened.	Own the whole market rather than guessing the leader. Satellite bets, if any, stay small and deliberate.
Tip-driven smallcap buying	Weak markets are when "multibagger recovery pick" marketing intensifies, and thin smallcaps are where manipulation lives.	Verify every adviser's SEBI registration. Treat unsolicited tips as fraud until proven otherwise.

✓ **The honest summary**

If you are starting a thirty-year accumulation programme, the state of the market this month is close to irrelevant to your final outcome — your savings rate, your costs, your asset allocation and your ability to not interfere will matter vastly more. The market context matters mainly because it determines which psychological trap is currently open in front of you. Right now that trap is "this is falling, I should stop" and its twin, "this has fallen, I should bet big on a bounce".

Where to Actually Start: The Order of Operations

You asked where to begin. The answer is a sequence, and the sequence matters more than any individual choice within it. Do these in order. Do not skip ahead because a later step is more interesting — it always is.

1 **Gate 0 — Clear the prerequisites**

Emergency fund of six months of expenses in a sweep-in FD or liquid fund. Term life insurance if anyone depends on your income. Health insurance beyond your employer's cover. Zero credit-card and personal-loan balances. Until all four are true, investing is premature regardless of how attractive the market looks. Worked sizing for each is in Investing Foundations.

2 **Gate 1 — Write down the plan before you buy anything**

A one-page Investment Policy Statement: your goals and their horizons, your target asset allocation, how much goes in each month, your rebalancing rule, and — critically — a pre-committed statement of what you will do if the portfolio falls 30%. Writing this *before* you have money at risk is the single highest-return thirty minutes in this entire section. Template in Building & Managing a Portfolio.

3 **Gate 2 — Fix the plumbing**

Verify your broker's SEBI registration. Add nominations to the demat account and every mutual fund folio. Confirm you are buying
direct
plans, not regular. Set up a dedicated investing bank account. Turn on the auto-debit mandate so the decision is made once, not monthly.

4 **Gate 3 — Start with a broad, boring, cheap core**

Your first investment should be a diversified, low-cost, broad-market equity index fund bought through a monthly SIP, plus a short-duration debt allocation sized to your near-term goals. Not a stock. Not a sectoral fund. Not an NFO. The reason is not that this maximises returns — it is

that it is the only approach that is robust to the fact that you currently know very little, including about yourself.

5 **Gate 4 — Run it untouched for six months**

Do not add holdings. Do not switch. Do not check it daily. The objective of the first six months is not returns; it is to observe your own behaviour through a period of fluctuation and to prove to yourself that you can leave it alone.

6 **Gate 5 — Only then consider a satellite**

After six months of boring execution, and only after working through Analysing a Stock, you may allocate a strictly capped satellite sleeve — a sensible ceiling for a beginner is 10% of the equity portion — to individual stocks or a thematic position. Money in the satellite must be money you can watch fall 50% without changing anything in the core.

7 **Gate 6 — Derivatives, if ever, come last**

Not in year one. Read the evidence first. If after a year you still want to, start with six months of paper trading and a written plan, and never with naked short options.

⚠ **On asset allocation specifics**

This guide deliberately does not tell you "put X% in equity". That number depends on your age, income stability, dependants, existing assets, goal horizons and genuine risk tolerance — none of which it knows. Building & Managing a Portfolio gives you several allocation shapes expressed in asset-class terms, each with its assumptions and its worst historical drawdown, so you can choose deliberately rather than copying a number off the internet.

A note on how much, and the emotional trap of "waiting for a better level"

TEXT

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THE "WAIT FOR THE BOTTOM" ARITHMETIC
_____________________________________

Suppose you plan to invest 20,000 rupees a month for 30 years.
Total contributions = 72,00,000 rupees.

You decide to wait six months for "a better entry", holding the
money in a savings account, then start.

What you have actually done:
  - Delayed six contributions (1,20,000 rupees) by 30 years
  - At 10% compounding, those six contributions would have grown
    to roughly 20-21 lakh rupees by year 30
  - You have gained, at best, a few percent on a single-digit
    fraction of your lifetime contributions

And that is the GOOD case, where the market obligingly falls.
If it rises 10% while you wait, you have lost on both counts.

The uncomfortable conclusion: for a long-horizon accumulator,
TIME IN the market dominates TIMING the market, and the cost of
waiting is paid in the most valuable years of compounding --
the earliest ones.
```

> **The honest caveat**
> That arithmetic argues against waiting with money you have already decided to invest. It does *not* argue for investing money you need within three years, or for borrowing to invest, or for abandoning your asset allocation. And if you are deploying a large lump sum rather than a monthly flow, the staggering question is genuinely more balanced — the evidence and the worked comparison are in Mutual Funds, SIPs, ETFs & Index Investing.

Your First Year, Month by Month

A plan you can actually execute, built so that the money starts compounding in month one while your knowledge catches up in parallel. Each month has one money action and one learning action. Nothing here requires you to predict anything.

Month	Money action	Learning action	Done when
1	Audit and close Gate 0: size the emergency fund, buy or verify term and health cover, list every debt with its interest rate. Park the emergency fund.	Read Investing Foundations end to end. Compute your savings rate.	Six months of expenses are liquid and the high-interest debt plan is written down
2	Write the one-page Investment Policy Statement. Decide the target allocation. Set the monthly amount at a level you could sustain through a bad year.	Read Building & Managing a Portfolio. Fill in the IPS template.	The IPS is written, dated and saved where you will find it in a crash
3	Open or clean up the accounts. Verify broker registration, add nominations, confirm direct plans, set the auto-debit mandate. **Start the SIP.**	Read How the Indian Stock Market Works. Place one tiny trade to learn the mechanics end to end.	The first SIP instalment has debited and you can read your own contract note line by line
4	Nothing. The SIP runs. Resist every urge to add or change.	Read Mutual Funds, SIPs, ETFs & Index Investing. Pull your own fund's factsheet and read every section.	You can explain your fund's TER, benchmark, mandate and top holdings from memory
5	Nothing new. Build the portfolio tracker spreadsheet and record everything accurately from day one.	Learn XIRR. Compute your own return properly rather than eyeballing the app's number.	The tracker reconciles exactly with your consolidated account statement
6	First review. Confirm allocation is still roughly on target. Do not rebalance yet. Increase the SIP if your income has risen.	Read Taxation & Regulation for Indian Investors. Understand what you will owe and when.	You know your holding periods, applicable rates and which ITR form you will file

7	Still nothing. This month exists to prove you can do nothing.	Read Analysing a Stock, sections on the three financial statements.	You can read a P&L, balance sheet and cash flow statement without a glossary
8	Open a *paper* portfolio. No real money. Pick three companies and write a one-page thesis on each.	Finish Analysing a Stock: ratios, valuation, red flags. Read one full annual report.	Three dated, falsifiable theses exist in writing, each with "what would prove me wrong"
9	Nothing with real money. Attend or read one earnings concall transcript for each paper holding.	Read Market Data, Research & News Sources. Build your bookmark pack and set your reading routine.	You have a 15-minute daily and 60-minute weekly routine you actually follow
10	Review the paper portfolio honestly. Score each thesis: what did you get right, what did you miss, what did you not even consider?	Read Futures & Options Demystified — the evidence sections especially.	You can state in one sentence why most retail F&O participants lose money
11	If and only if the paper exercise went well, fund a satellite sleeve capped at 10% of your equity allocation.	Read Trading: Strategy, Risk & Psychology — position sizing and risk of ruin.	The satellite is sized so a 100% loss would not change the core plan
12	Full annual review: performance versus benchmark on XIRR, allocation drift, rebalance if a band is breached, step up the SIP, tax-loss or tax-gain harvest if appropriate.	Rebuild the market snapshot in section 16 yourself. Compare it to this guide's.	You have a written annual review and a refreshed, self-made market picture

✓ **Notice what is not in this plan**

No stock tips. No market timing. No "buy on dips". Five of the twelve months have the money action "do nothing". That is not padding — the capacity to do nothing is the skill being trained, and it is the skill that most determines whether a thirty-year plan survives its first bad year.

Sizing the monthly amount

TEXT

```
A SANITY CHECK ON YOUR SIP AMOUNT
_____________________________________

Rule 1: It must survive a bad year.
  Set the amount at a level you could continue paying if your
  variable pay vanished and your rent rose 10%. If a 20% income
  shock would force you to stop, the amount is too high.

Rule 2: It must be high enough to matter.
  In the first decade, your CONTRIBUTIONS dominate your returns.

  Illustration at an assumed 10% annual return:
    Monthly SIP      Contributed      Value at yr 10    From returns
    ____________________________________________________________

     5,000             6,00,000          10,32,000         42%
    20,000            24,00,000          41,28,000         42%
    50,000            60,00,000       1,03,19,000          42%

  The RATIO is identical. The absolute outcome is not. Your
  savings rate is the only lever here, and it is entirely
  within your control -- unlike returns.

Rule 3: Step it up with income, automatically.
  A 10% annual step-up on a 20,000 SIP over 30 years contributes
  roughly 2.5 times the corpus of a flat 20,000 SIP, at the same
  assumed return. The step-up is worth more than any fund choice
  you will make.

Returns above are ILLUSTRATIVE at an assumed constant 10%. Real
returns are not constant and are not guaranteed.
```

The Parallel Learning Track

Money and knowledge should compound at the same time. The mistake beginners make is to sequence them — either investing with no understanding, or studying for two years while their savings sit in a bank account losing to inflation. Run both.

READING ORDER THROUGH THIS SECTION

1. Investing Foundations → 2. How the Indian Stock Market Works → 3. Mutual Funds, SIPs & Index Investing → 4. Analysing a Stock → 5. Building & Managing a Portfolio → 6. Taxation & Regulation → 7. Market Data & Research Sources → 8. Futures & Options → 9. Trading: Strategy, Risk & Psychology.

FREE EXTERNAL RESOURCES WORTH THE TIME

Zerodha Varsity (zerodha.com/varsity) is the best free structured curriculum in Indian retail finance. SEBI's own investor education material at investor.sebi.gov.in. NSE and BSE investor awareness sections. NISM certifications (nism.ac.in) if you want formal grounding — the Series VIII Equity Derivatives and Series V-A Mutual Fund Distributors syllabi are rigorous and cheap.

THE PAPER-TRADING DISCIPLINE

A paper portfolio only teaches you something if you treat it seriously: real position sizes, real entry and exit rules, written theses with dates, and an honest post-mortem. A paper portfolio where you quietly forget the losers teaches you nothing except overconfidence. Record every decision *before* the outcome is known.

WHAT TO DELIBERATELY IGNORE

Daily market commentary, price targets, "top 5 stocks for Diwali" lists, intraday calls, anything with a WhatsApp or Telegram join link, anyone showing profit screenshots, and any claim of a win rate above 70%. None of this is information. All of it is a product being sold to you.

✕ **Verify before you trust anyone**

Under SEBI regulations, anyone giving personalised investment advice for consideration must be a registered Investment Adviser, and anyone publishing research recommendations must be a registered Research Analyst. Registration numbers can be checked directly on the SEBI website's intermediary search. An unregistered "advisor", however convincing, is operating illegally — and you have essentially no recourse when it goes wrong. Verify, every time, before money moves.

Scenario Playbook: What To Do If...

Decide now, in a calm moment, what you will do in each of these situations. A decision made in advance is a plan; the same decision made during the event is a reaction, and reactions are reliably worse.

Scenario	The emotional pull	The pre-committed response
The market falls another 20% from here	"I should stop the SIP and wait for it to stabilise."	Continue the SIP without change — these are your cheapest units. Rebalance *into* equity if your allocation band is breached. If you have idle cash earmarked for investing, deploy it on your normal schedule, not all at once. Do not borrow. Do not use leverage.
The market rallies 20% from here	"I should put more in before I miss it."	Continue the SIP without change. Rebalance *out of* equity if your band is breached. Resist increasing the amount because returns look good — increase it only because your income rose.
It goes sideways for three years	"This isn't working, I should try something more active."	Expected and normal. Equity returns are lumpy; long flat periods followed by rapid re-ratings are the historical pattern, not an aberration. Keep contributing. Your average cost is quietly improving.
A stock in your satellite falls 50%	"I'll average down, it must bounce."	Re-read your original written thesis. If the thesis is broken, exit and record the lesson. If the thesis is intact and the fall is price-only, you may hold — but do not add beyond your pre-set position cap. Averaging down without a thesis review is how small losses become large ones.
Inflation stays above 6% for a year	"Cash is being destroyed, I must do something."	Keep the emergency fund regardless — its job is liquidity, not return. Keep debt duration short while rates are rising. Equity remains the long-horizon inflation defence, imperfect and volatile though it is.
You lose your job	"Sell investments to cover expenses."	This is precisely what the emergency fund exists for. Pause the SIP if required — pausing is not the same as redeeming. Sell investments only after the emergency fund is exhausted, and sell from debt before equity.
You receive a windfall (bonus, ESOP sale, inheritance)	"Put it all in now" or "wait for a dip".	First top up the emergency fund and clear any debt. Then deploy into your existing target allocation over a defined period you commit to in advance, and follow through regardless of what the market does in the interim.

Everyone around you is making money in something you do not own	"My approach is wrong, I'm being left behind."	The strongest signal that a pre-commitment is about to be tested. You are hearing a survivorship-biased sample — nobody posts their losses. Change your plan only when your circumstances change, never when your feelings change.

✦ **Make this binding**

Copy the two or three rows most relevant to you into your Investment Policy Statement, sign it, and date it. The written, pre-committed version of you is smarter than the version of you reading red numbers at 3 pm on a Thursday.

Refresh This Analysis Yourself: The 30-Minute Quarterly Routine

The most valuable thing this guide can leave you with is not its conclusions but its method. Here is exactly how to rebuild the entire snapshot above for whatever market you are actually standing in. Do it once a quarter. It takes about half an hour.

1. **Equities — 5 minutes**
   Record the Nifty 50 and Sensex levels, and their 1-month, 1-year and 3-year returns. Note the distance from the all-time high. Do the same for the Nifty Midcap 150 and Smallcap 250, because the broad market often tells a very different story from the benchmark. Source: NSE and BSE index pages.

2. **Valuation — 5 minutes**
   Record the Nifty 50 trailing P/E, P/B and dividend yield from the NSE's own index data page. Compare each with its own 10-year range — that comparison, not the absolute number, is what tells you whether the market is expensive. Compute the earnings yield (1/PE) and compare it with the 10-year G-Sec yield; the gap is a crude but useful equity-versus-bond attractiveness gauge.

3. **Inflation and policy — 5 minutes**
   Record the latest CPI print and its direction, the repo rate, and the RBI's stated stance from the most recent monetary policy statement. Compute the real policy rate (repo minus CPI). A negative real policy rate with rising inflation means more tightening is likely; a strongly positive one means the cycle may be near its end. Source: mospi.gov.in and rbi.org.in.

4. **Bonds — 3 minutes**

Record the 10-year G-Sec yield and at least the 2-year, so you can see the shape of the curve. Compute the real yield and the post-tax real yield at your slab. Note the change over the last quarter — the direction matters more than the level.

5 **Currency and commodities — 3 minutes**

USD/INR and its 1-year change. Brent crude and its 1-year change. Gold. For India, crude is the single most important external variable; for your personal portfolio, the rupee is the second.

6 **Global — 4 minutes**

US 10-year Treasury yield, the Fed funds rate and US CPI. Compute the India–US 10-year spread. The narrower the spread and the weaker the rupee, the less attractive Indian assets are to foreign capital, and the more likely persistent outflows become.

7 **Flows — 3 minutes**

Month-to-date and year-to-date FII and DII net equity flows. Published free by NSE and by the depositories. This quantifies what commentary describes only qualitatively.

8 **Write three sentences — 2 minutes**

One sentence on what the data says, one on what you think is driving it, and one on what would have to change for that driver to reverse. Date it and file it. After four quarters you will have something far more valuable than any market outlook you could buy: a record of your own reasoning, which you can score against what actually happened.

TEXT

```
QUARTERLY MARKET SNAPSHOT -- TEMPLATE
=====================================
Date: ____________

EQUITY
  Nifty 50 ________   1M ____%  1Y ____%  from ATH ____%
  Sensex   ________   1M ____%  1Y ____%  from ATH ____%
  Midcap 150 ______   1Y ____%
  Smallcap 250 ____   1Y ____%

VALUATION
  Nifty trailing P/E ______  (10-yr range ____ to ____)
  Nifty P/B ______          Dividend yield ______%
  Earnings yield (1/PE) ______%   minus 10Y G-Sec ______%
    = equity risk premium proxy: ______%

MACRO
  CPI ______%  (prev ______%)   direction: up / flat / down
  Repo rate ______%   RBI stance: ____________________
  Real policy rate (repo - CPI) = ______%

RATES
  10Y G-Sec ______%   2Y ______%   curve: steep / flat / inverted
  Real yield (10Y - CPI) = ______%
  Post-tax real yield at my slab = ______%

EXTERNAL
  USD/INR ______   1Y change ______%
  Brent ______     1Y change ______%
  Gold ______
  US 10Y ______%   India-US spread ______ bps
  Fed funds ______%   US CPI ______%

FLOWS (net equity, crore)
  FII: MTD ______  YTD ______
  DII: MTD ______  YTD ______

MY THREE SENTENCES
  What the data says: ____________________________________
  What I think is driving it: ____________________________
  What would reverse it: _________________________________

ACTION TAKEN: none / rebalanced / stepped up SIP / other
  (Correct answer is usually "none".)
```

✓ **Why this beats reading outlooks**

Thirty minutes a quarter produces a dated, personal, falsifiable record of your own thinking. It immunises you against stale summaries written by someone with different incentives, and after a few years it will show you something no article can: how often your own confident interpretations were wrong. That lesson, learned cheaply, is worth more than any individual market call.

The Dashboard: What To Check and How Often

Most beginners check too much, too often, and the wrong things. Checking a long-horizon portfolio daily measurably increases the probability you will interfere with it. Here is a deliberately restricted diet.

Frequency	What to check	Where	Time
Never	Your portfolio's daily profit and loss	—	0 min
Daily (optional, 15 min)	Headlines only, from one or two credible outlets. Corporate announcements for anything you own.	A business daily; NSE/BSE corporate announcements	15 min
Weekly	One longer read: an annual report section, a concall transcript, or a chapter of a guide. Not news.	Company investor-relations pages	60 min
Monthly	Confirm the SIP debited. Update the tracker. Nothing else.	Bank statement, your spreadsheet	10 min
Quarterly	The 30-minute snapshot in section 15. Results of anything in your satellite sleeve.	NSE, RBI, MoSPI, company filings	45 min
Annually	Full review: XIRR versus benchmark TRI, allocation drift, rebalance, SIP step-up, tax planning, insurance adequacy, nomination check	CAS, tracker, AIS/TIS	3 hours
Event-driven	RBI policy days, Union Budget, your holdings' results dates — read the primary document, not the commentary	rbi.org.in, indiabudget.gov.in, filings	as needed

Primary sources worth bookmarking

Source	Address	What you go there for
NSE India	nseindia.com	Index levels and P/E, corporate announcements, FII/DII activity, option chain, circulars, contract specifications
BSE India	bseindia.com	Filings, shareholding patterns, announcements, SME platform data
SEBI	sebi.gov.in	Regulations and circulars, enforcement orders, intermediary registration search, investor education, research studies
Reserve Bank of India	rbi.org.in	Monetary policy statements and minutes, bulletins, the Database on the Indian Economy, Retail Direct for G-Secs
MoSPI	mospi.gov.in	Official CPI, IIP and GDP releases — the primary source before any newspaper reports it
AMFI	amfiindia.com	Mutual fund NAVs, category definitions, industry flow data
Screener	screener.in	Company financials, ratios, custom screens
Income Tax Department	incometax.gov.in	AIS, TIS, Form 26AS, return filing, current rates and due dates
Zerodha Varsity	zerodha.com/varsity	Free structured curriculum across markets, fundamentals, technicals and derivatives

Deeper treatment
Market Data, Research & News Sources covers all of these in detail, plus screeners, charting platforms, fund research, flow data, how to evaluate a newsletter or podcast, and how to spot a pump-and-dump or a paid promotion.

Frequently Asked Questions

The market is down 13% over a year. Is this a good time to start?

For a long-horizon accumulator, the honest answer is that it is a *better* starting point than a peak, and that this matters far less than you think. Starting roughly 15% below the high means you buy more units per rupee than someone who started a year ago, which is genuinely helpful. But nobody knows whether the next 15% is up or down, and over a thirty-year horizon the entry level in month one is swamped by your savings rate, your costs and your discipline. The practically useful version of the question is not "is this a good time" but "do I have a process that does not require me to know". If the answer is yes, start now. If the answer is no, build the process first — that takes a week, not a market cycle.

Should I wait for the RBI to stop raising rates before investing in equities?

That would require you to correctly identify the end of a hiking cycle in advance, which professional rates desks routinely fail to do. More importantly, equity markets are forward-looking: by the time it is *obvious* that the cycle has peaked, a substantial part of the re-rating has typically already happened. The practical answer is that if you are investing monthly over decades, the rate cycle is noise — you will live through many of them. If you are deploying a large lump sum, staggering it over a defined period is a reasonable way to manage regret, but choose the period in advance and stick to it regardless of what the RBI does.

Large caps I recognise are down 30%. Isn't that an obvious opportunity?

It is an obvious *candidate for research*, which is a very different thing. A price decline tells you nothing about value on its own — the question is whether the business's future cash flows have deteriorated more or less than the price has. Sometimes a 30% fall is an overreaction; sometimes it is the market correctly recognising that growth has structurally slowed, in which case the stock can fall another 50% and still not be cheap. Familiarity is also a trap: you recognise the name because it is widely held and heavily advertised, not because you understand its economics. If you want to act on this, work through Analysing a Stock, write a thesis, and size the position so that being wrong does not matter much.

With the 10-year government bond at 7.45%, why take equity risk at all?

Because 7.45% is a nominal, pre-tax number. Interest is taxed at your slab rate, so a 30%-bracket taxpayer nets roughly 5.2%, against inflation of 5.54% — a slightly negative real return. You would be locking in a guaranteed, slow erosion of purchasing power for ten years. That said, the comparison is not pointless: at these yields, debt is a far more useful component of a portfolio than it is when yields are low, and for goals inside three to five years it is clearly the right instrument. The answer is allocation, not a binary choice. Note also the duration warning in section 5 — if you access that yield through a long-duration fund rather than by holding a bond to maturity, further rate rises will hit your NAV.

Foreign investors are selling. Shouldn't I sell too?

Look at *why* they are selling before copying it. The arithmetic in section 6 shows that with US 10-year yields above 5%, a 233 basis point India–US spread and an 8% annual rupee depreciation, a dollar investor earns a negative dollar return on Indian bonds and a heavily currency-dragged return on

Indian equities. They are responding to a currency-and-carry problem that *you do not have*, because you earn, spend, save and retire in rupees. Foreign selling creates price pressure that affects you, but their reason for selling does not apply to you. Blindly mirroring a different investor's constraints is one of the more subtle ways retail participants hurt themselves.

IT stocks were rallying while everything else fell. Should I buy an IT fund?

The rally is consistent with a weak rupee helping dollar-revenue exporters, plus defensive rotation — so there is a real mechanism, not just momentum. But three problems. First, you are observing a move that has already happened; the repricing is substantially done. Second, sector funds concentrate risk precisely when you most need diversification, and sector rotation in India is fast and unforgiving. Third, the mechanism reverses the moment the rupee strengthens. Sectoral and thematic funds have a well-documented pattern of attracting the most money near the end of the cycle that made them attractive. If you want exposure to IT, you already have it through a broad-market index fund, weighted by the market's own judgement rather than yours.

Gold fell while inflation rose and there was geopolitical risk. Why?

Because the popular story about gold is much simpler than gold's actual behaviour. Gold is a non-yielding asset, so it competes directly with real yields: when real interest rates rise — as they did globally in this period, with US 10-year yields above 5% — the opportunity cost of holding gold rises and it tends to underperform, regardless of inflation headlines or geopolitics. The useful lesson is broader than gold: asset classes do not reliably obey the narratives attached to them. Hold gold as a modest, genuinely uncorrelated diversifier if your allocation calls for it, not because you have been told it protects against a specific event.

Should I invest in international funds given this?

There is a real structural case — Indian equities are roughly a low-single-digit share of global market capitalisation, your human capital and property are already entirely rupee-denominated, and the divergence in this snapshot (US near highs, India down 13%) is exactly the sort of thing diversification is for. There are also real frictions: the Liberalised Remittance Scheme limit and TCS on remittances if you invest directly abroad, Schedule FA disclosure obligations, less favourable tax treatment for most international funds compared with domestic equity funds, and the fact that SEBI has at times capped overseas investment by Indian mutual funds. A modest allocation is defensible for most investors; the specifics, including the tax and compliance treatment, are in Building & Managing a Portfolio and Taxation & Regulation. Verify the current LRS, TCS and fund-level limits before acting — they change.

How much of my salary should go into investing?

After the Gate 0 prerequisites are met, a commonly cited target is 20% or more of take-home pay, and more if you started late or have ambitious goals. But the right number is derived, not borrowed: list your goals, their amounts in today's rupees, their horizons, inflate them, and work backwards to a monthly requirement at a conservative assumed return. The worked method is in Investing Foundations. One strong practical rule — set the base amount at a level you could sustain through a

bad year, then direct a fixed fraction of every raise and bonus into increasing it. Step-ups are worth more over thirty years than almost any other decision you will make.

Index fund or actively managed fund, especially when the market is falling?

The argument that active managers protect you in a downturn is popular and weakly supported. The honest position: the evidence from SPIVA India scorecards has consistently shown a large majority of active large-cap funds underperforming their benchmark over longer horizons, with a less clear-cut picture in mid and small caps; and the funds that outperform in one period show poor persistence into the next. Costs are the most reliable predictor of relative performance, and index funds win decisively on cost. For a beginner, a low-cost broad-market index core is the default that requires no skill to select and no skill to maintain. Check the current SPIVA India scorecard yourself rather than taking this on trust — it is published free.

Can I start trading options with a small amount to learn?

Not in your first year, and the reason is the evidence rather than conservatism. SEBI's own studies of individual F&O participants have repeatedly found that the large majority — of the order of nine in ten — lose money, with substantial aggregate losses. That is not a skill gap you close by starting small; it is a structural feature of a leveraged, zero-sum, high-cost market in which your counterparties are professionals. If you want to learn the mechanics, read Futures & Options Demystified, paper trade for six months with real position sizes and a written log, and then re-read your log. Most people who do that honestly decide not to proceed, which is itself a profitable outcome.

My portfolio is down since I started. Did I do something wrong?

Almost certainly not. A portfolio being down in its first year is an expected outcome, not evidence of a mistake — roughly a third of calendar years are negative for equities. The questions worth asking are process questions, not outcome questions: Is my allocation consistent with my written plan? Am I in direct plans with low costs? Am I diversified rather than concentrated in whatever was popular? Is the money I have invested genuinely long-horizon money? If the answers are yes, you did everything right and the market did what markets do. The only real mistake available to you at this point is reacting to the drawdown.

How do I know when this analysis has gone stale?

Assume it is stale. Index levels change daily; the repo rate changes every few weeks; a crude price can move 30% in a quarter. Treat sections 2 to 8 as a frozen worked example of *how* to read a market, and rebuild the picture yourself using the thirty-minute routine in section 15. A specific trigger list: any RBI policy decision, any CPI print that changes direction, a 20% move in crude, a 5% move in the rupee, or a 10% move in the index. If any of those has happened since 21 October 2026 — and by the time you read this, several will have — the narrative above no longer describes your market.

What single thing matters most in my first year?

Not stopping. The mechanical act of continuing to contribute through a period when it feels wrong is the behaviour that separates investors who compound for thirty years from those who have three

> false starts and conclude the market is rigged. Everything else — fund selection, allocation tweaks, stock research, tax optimisation — operates at the margin compared with simply still being invested in year ten. Automate the contribution so the decision is made once, write down what you will do in a crash before the crash, and then make the first year as boring as you possibly can.

First-Year Checklist

Print this. Tick it as you go. Nothing on this list requires you to predict a market level.

Before any money is invested

- ☐ Emergency fund of six months' expenses, liquid and separate from the investing account
- ☐ Term life cover in place if anyone depends on your income — sum assured calculated, not guessed
- ☐ Health insurance independent of your employer, with a super top-up if appropriate
- ☐ All credit-card and personal-loan balances cleared, or a dated repayment plan written down
- ☐ One-page Investment Policy Statement written, dated and saved somewhere you will find it in a panic
- ☐ Target asset allocation chosen deliberately, with its worst historical drawdown understood and accepted
- ☐ Pre-committed written answer to "what will I do if this falls 30%?"

Account and plumbing setup

- ☐ Broker's SEBI registration verified on sebi.gov.in
- ☐ Nominations added to the demat account and every mutual fund folio
- ☐ Confirmed you are in **direct** plans, not regular — check the scheme name explicitly
- ☐ Auto-debit mandate set up so contributions do not require a monthly decision
- ☐ Contact details and bank mandate current; consolidated account statement accessible
- ☐ Two-factor authentication enabled; no credentials shared with any "advisor"

Through the year

- [ ] SIP started and running for twelve consecutive months without interruption
- [ ] Portfolio tracker built and reconciling with the consolidated account statement
- [ ] You can read your own contract note and factsheet line by line
- [ ] XIRR computed at least once, and compared against the benchmark's total return index
- [ ] All nine other guides in this section read, in the order given in section 14
- [ ] At least one full annual report and one earnings call transcript read end to end
- [ ] Daily and weekly reading routines established — and the noise sources unsubscribed
- [ ] Paper portfolio run with written, dated theses and an honest post-mortem
- [ ] Satellite sleeve, if any, capped at 10% of equity and funded only after the paper exercise
- [ ] Quarterly market snapshot completed four times, each with your three sentences
- [ ] Tax position understood: holding periods, applicable rates, which ITR form, advance tax if relevant
- [ ] Annual review completed and the SIP stepped up in line with income

Things you should still not have done by the end of year one

- [ ] Traded a single futures or options contract with real money
- [ ] Used margin, MTF, or borrowed in any form to invest
- [ ] Acted on an unsolicited tip, Telegram group, or anyone's profit screenshot
- [ ] Stopped or reduced the SIP because of a market decline
- [ ] Bought a sectoral or thematic fund because it topped a one-year return table
- [ ] Put money you need within three years into equities
- [ ] Concentrated more than a small, pre-capped share of your portfolio in any single stock

✓ **The closing thought**

The market you start in is the market you remember, and starting in a drawdown is genuinely uncomfortable. But the investors who do well over decades are not the ones who picked a good year to begin — they are the ones who built a process they did not have to revisit every time the news changed, and then left it alone. The analysis in sections 2 to 8 will be obsolete within months. The process in sections 9 to 17 will not be.

✗ **Final reminder**

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